

PAYPAL HOLDINGS, INC.

(NASDAQ: PYPL)

Priced as a Melting Ice Cube; Valued as a Two-Sided Network

BUY — \$90.00 Target

Equity Research Note · Financials — Digital Payments · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$90.00	\$52.80	+70.5%	High

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$45.2 bn (~855 mn sh × \$52.80)	Net cash	~\$0.3 bn (cash + investments ≈ debt; no leverage wall)
Price (Oct 2, 2026)	\$52.80	Active accounts	400 mn+ consumers; tens of millions of merchants
52-week range	~\$38.46 – \$79.22	Share count	Falling sharply — buybacks retiring stock at single-digit multiples
TTM free cash flow	~\$5.6 bn (~10-12% FCF yield)	Next catalyst	Q3 2026 earnings; Fastlane merchant adoption; Venmo monetization prints
Owner FCF multiple	~9× (after ~\$1B+/yr stock comp)		

1 Investment Thesis

PayPal is priced as a melting ice cube and valued as one of the great two-sided payment networks ever built — and only one of those can be right. The branded PayPal checkout button remains the highest-converting payment method in e-commerce: merchants accept it because consumers trust it, and consumers use it because merchants accept it. That flywheel, built over two decades across more than 400 million active accounts and tens of millions of merchants, does not evaporate because Apple Pay exists. At \$52.80 the market is capitalizing a permanent decline in the branded business that the transaction data simply does not show: branded checkout volumes keep growing, take rates are stabilizing, and the margin structure is inflecting as new products shift the mix back toward higher-value flows.

The second pillar is the turnaround under CEO Alex Chriss, which is further along than the stock price suggests. The company has refocused on its core checkout and payments strength, launched Fastlane — a one-click guest checkout that materially lifts conversion for merchants — and begun to monetize Venmo in earnest after years of leaving money on the table. Operating margins are expanding as the company rationalizes costs and as higher-margin branded volume outgrows the lower-margin Braintree processing business. This is the classic setup: a hated turnaround where the numbers turn before the narrative does.

The third pillar is capital return. PayPal generates enormous free cash flow, and with the shares trading at a mid-teens multiple of earnings, every dollar of buybacks retires stock at prices that will look absurd in hindsight if the business merely stabilizes. The combination of mid-single-digit revenue growth, margin expansion of several hundred basis points, and a shrinking share count is a powerful earnings-per-share compounding formula that requires no heroic assumptions about market-share gains.

Our \$90.00 fair value assumes PayPal is a low-growth compounder, not a high-growth disruptor — and the current price does not even grant it that. The risk-reward is skewed because the downside case (continued share erosion, fee compression) is fully priced while the base case — stable branded checkout, Venmo monetization, Fastlane adoption,

agentic-commerce optionality — is priced at roughly zero probability. We see +71% upside to fair value with a downside cushion from the buyback and the cash generation. The rating is BUY.

Why the market will care (eventually)

- **Conversion is what merchants pay for.** The relevant question is not whether alternative payment methods exist — they do — but whether PayPal's branded button keeps converting better than the alternatives. Fastlane's early merchant results show meaningful conversion lifts, and the branded take rate has stabilized as the company prices for the value it delivers.
- **Venmo is a free call option inside the company.** Tens of millions of monthly active users who skew young and digitally native; even modest progress in monetization — debit-card interchange, pay-with-Venmo at checkout, instant-transfer fees — drops almost entirely to the bottom line. The market assigns it little value.
- **The bear case cannot get 20% below the quote.** We charge branded erosion, 400bp of margin compression, and a 12.5% discount rate in the bear case and still get \$43.43 — 18% below \$52.80, not a collapse. The asymmetry is the whole case.

2 Business Overview — What PayPal Holdings Is Doing

(San Jose, California; CEO Alex Chriss)

PayPal Holdings, headquartered in San Jose, California, is one of the world's largest digital payment platforms. Its core is the branded checkout business: the PayPal button and digital wallet that consumers use to pay online, in-app, and increasingly in-store. Around that core sit Venmo, the leading US peer-to-peer payment app with a large and young user base; Braintree, the full-stack payment processor that powers unbranded card processing for large merchants and platforms; and smaller businesses including Xoom (remittances) and merchant lending products.

The economics differ by product. Branded checkout carries the highest take rate and margin: PayPal earns a percentage of each transaction plus a fixed fee, with minimal incremental cost per transaction. Braintree is a scale processing business with much thinner margins but large volume. Venmo monetization — through instant transfers, the Venmo debit card, and merchant payments — has been the long-awaited second act. The company's moat is its two-sided network: consumer trust and merchant acceptance reinforce each other, and the data across hundreds of billions of transactions improves risk management and authorization rates in ways new entrants cannot quickly replicate.

PayPal processes trillions of dollars in total payment volume annually. It is a capital-light business that converts a high share of operating profit into free cash flow, which management has directed toward share repurchases and disciplined reinvestment in checkout innovation such as Fastlane and AI-driven shopping experiences.

3 Financial Analysis

\$ bn	2022	2023	2024	2025
Total revenue	27.52	29.77	31.80	33.17
YoY growth	—	+8.2%	+6.8%	+4.3%
Operating cash flow	5.81	4.84	7.45	6.42
Free cash flow	5.11	4.22	6.77	5.56
Owner FCF (less SBC)	~4.0	~3.1	~5.7	~4.5

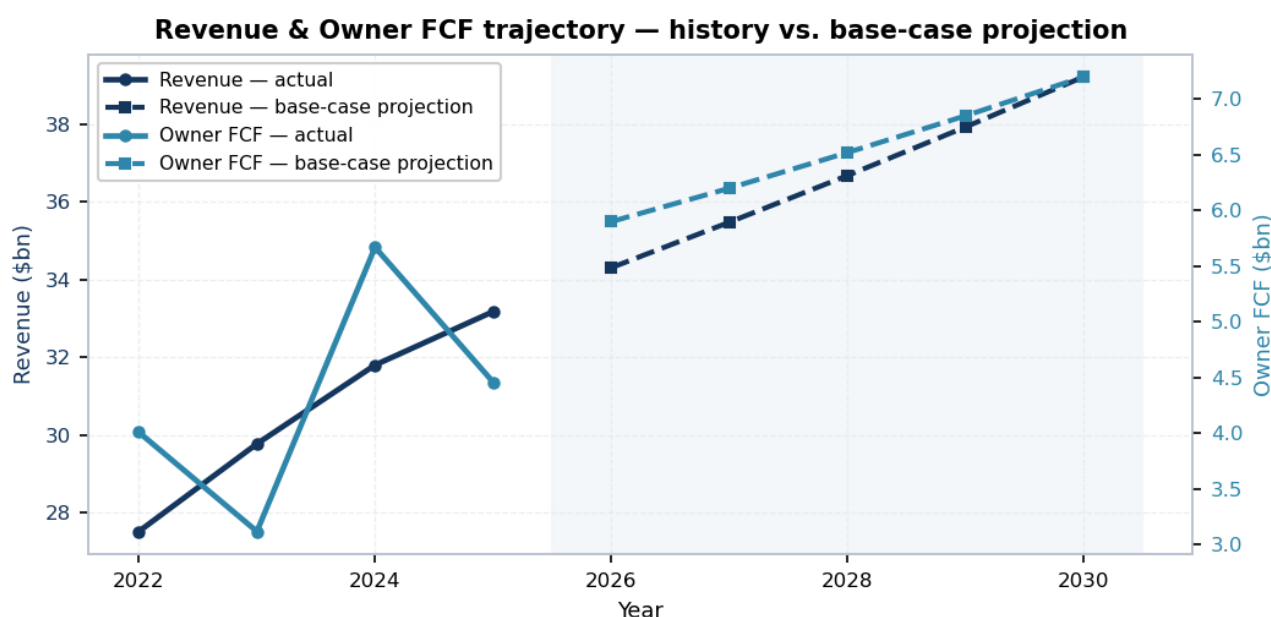
Sources: company filings via Yahoo Finance (annual). Owner FCF deducts ~\$1B+/yr stock-based compensation — the cash shareholders can actually spend.

Cash generation and buybacks create a valuation floor. TTM free cash flow of roughly \$5.6 billion against a ~\$45 billion market cap is a double-digit FCF yield — and owner free cash flow, after the roughly \$1 billion-plus annual

stock-compensation charge, still prices the equity at about 9×. The share count has fallen sharply as buybacks retire stock at single-digit multiples. That compounding only adds value while the franchise remains durable — which is exactly what our downgrade triggers police.

The balance sheet (mid-2026): cash plus short-term investments and available-for-sale securities roughly offset total debt of about \$13.4 billion, leaving near-zero net cash. Near-cash, not a war chest — but no leverage forcing the company's hand, and no refinancing wall in the thesis window. Revenue has compounded steadily (\$27.5 billion in 2022 to \$33.2 billion in 2025) while the mix shifts toward higher-margin branded flows, which is the mechanical driver of the margin expansion in our scenarios.

Revenue & cash-flow trajectory

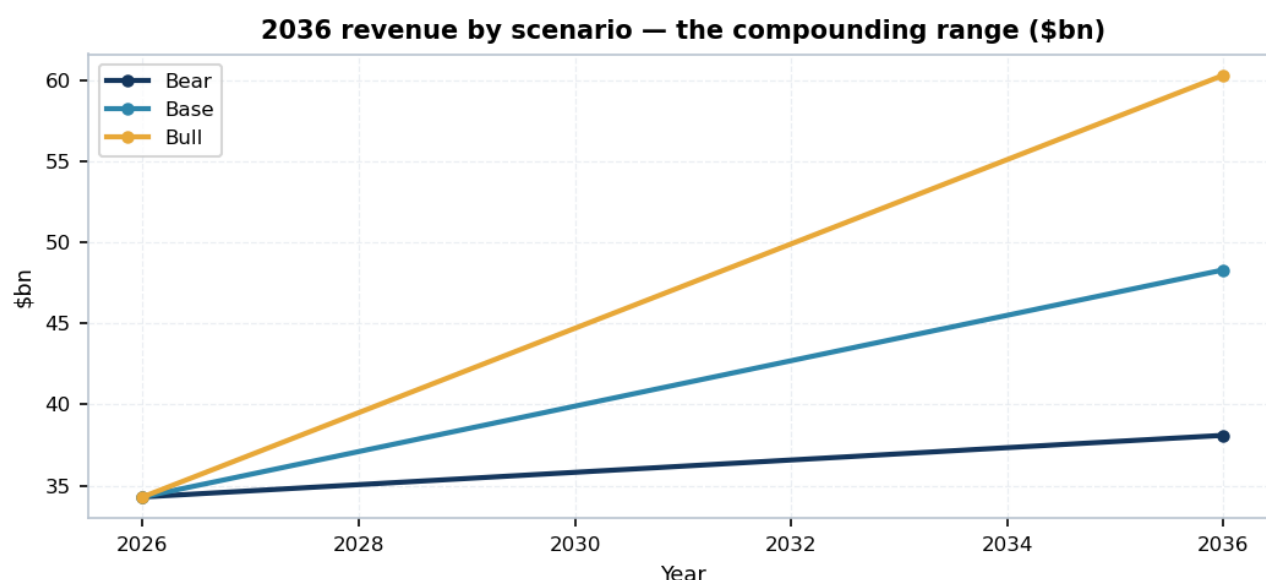


History: company filings via Yahoo Finance; FCF less ~\$1B+/yr stock-based compensation = owner FCF. Projections: base-case owner FCF from the scenario DCF.

4 Moat & Competition

- **The two-sided network is the moat.** Consumer trust and merchant acceptance reinforce each other across 400 million-plus accounts; the data across hundreds of billions of transactions improves authorization rates and risk management in ways new entrants cannot quickly replicate.
- **The branded button converts best.** Highest-converting checkout method in e-commerce — that conversion is what merchants pay for, and it is the source of the take-rate premium over unbranded processing.
- **Venmo's social graph.** The leading US P2P app with a young, digitally native user base — a distribution asset for the next wave of monetization that competitors cannot easily clone.
- **Scale in risk infrastructure.** Two decades of fraud and credit data across global corridors; agentic commerce will reward whoever owns the trusted credential, and PayPal is positioned for that world.
- **The moat's weak link: the button is optional.** Apple Pay, Google Pay, Stripe, Adyen, and buy-now-pay-later keep attacking the checkout; the moat holds only as long as conversion superiority does — which is why branded volume is our downgrade tripwire.

2036 revenue by scenario — the compounding range (\$bn)



5 Valuation — 10-year scenario DCF on owner free cash flow (after stock comp), Fair Value \$90

We value PayPal on a 10-year scenario DCF at the firm level on owner free cash flow — free cash flow after deducting stock-based compensation, the only number shareholders can spend — weighted bear 25% / base 50% / bull 25%, with scenario-specific discounts: bear 12.5% (base + 250bp: branded erosion, margin compression), base 10.0% (standard tier: branded share loss, mix pressure, execution risk), bull 8.5% (base – 150bp). Terminal growth is 1.0% / 2.0% / 2.5% on normalized mid-cycle owner-FCF margins (11% / 15% / 16.5%), and the terminal value is 31–61% of enterprise value. Buybacks are not modeled as accretion (that would be circular); the share count is held at 855 million, which is conservative given the retirement pace.

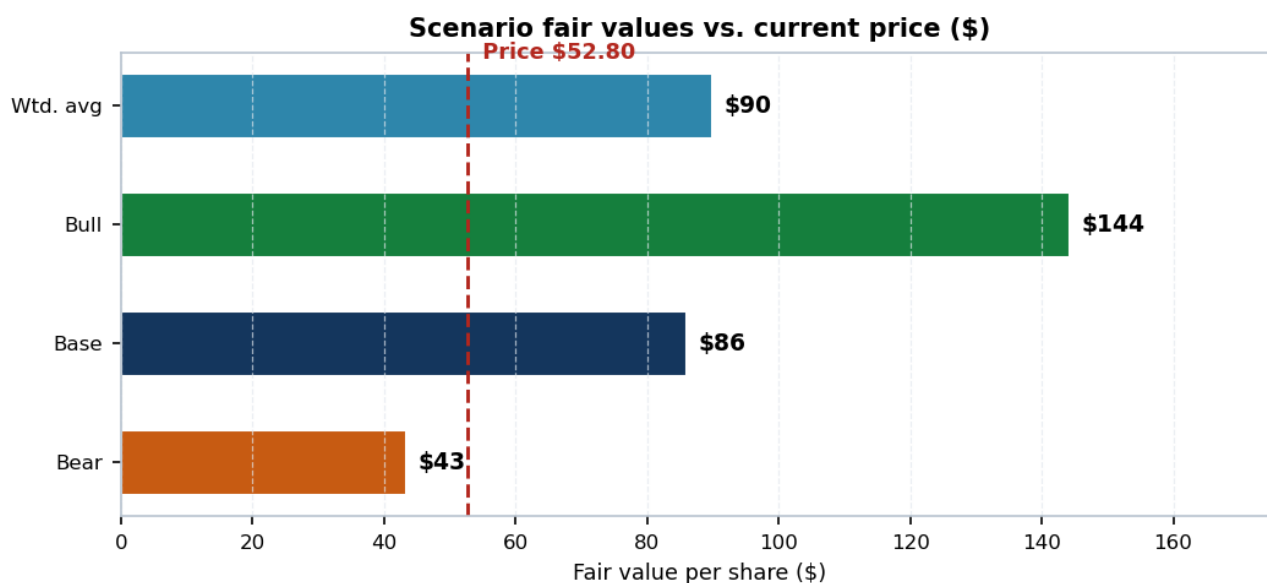
In the base case, revenue grows at 3.4% (2027–36) to \$48.3 billion as branded checkout growth and Venmo monetization offset the dilutive mix of Braintree volume; operating margins expand toward the mid-20s as turnaround cost discipline holds and higher-margin products outgrow processing; and owner FCF per share grows faster than revenue as buybacks shrink the share count. The bear case (\$43.43) is genuinely adverse and sits below the current price: branded share erodes structurally to wallets and buy-now-pay-later, regulators compress interchange economics, and the turnaround stalls. The bull case (\$144.26) assumes Fastlane becomes the default guest checkout across large merchants, Venmo monetization inflects, and PayPal captures a meaningful share of agentic-commerce payment flows. A cross-check on multiples supports the conclusion: at \$52.80 the shares trade at a multiple of forward earnings more appropriate to a no-growth melting business, while the owner-FCF yield is in the high single digits. For a capital-light network business with this return profile, that pricing implies a future the fundamentals do not support.

Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Branded checkout share erodes structurally to wallets and BNPL; regulators compress interchange; turnaround stalls; 400bp margin compression	+1.0%	11%	12.5% / 1.0%	31%	\$43.43
Base	3.4% revenue compounding; owner-FCF margins recover to 15%; branded growth + Venmo monetization offset Braintree mix; buybacks continue	+3.4%	15%	10.0% / 2.0%	46%	\$86.07
Bull	Fastlane becomes default guest checkout at large merchants; Venmo monetization inflects; PayPal captures agentic-commerce payment flows	+5.7%	16.5%	8.5% / 2.5%	61%	\$144.26

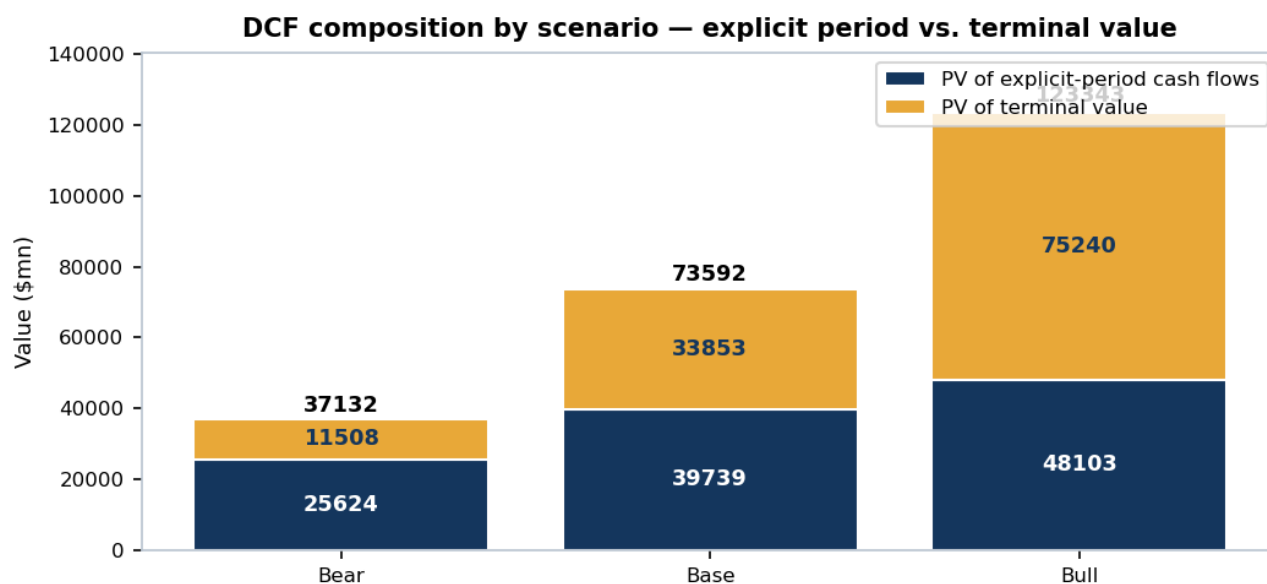
Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Wtd. avg	Probability-weighted (25/50/25) → \$90.00 target					\$90.00

Scenario fair values are per-share equity values from the owner-FCF DCF (855 mn shares). $0.25 \times \$43.43 + 0.50 \times \$86.07 + 0.25 \times \$144.26 \approx \90.00 .

Scenario fair values vs. current price (\$)



DCF composition by scenario



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$mn. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Competitive pressure.** Apple Pay, Google Pay, Stripe, Adyen, and buy-now-pay-later providers could erode branded checkout share or compress take rates.

- **Regulatory risk.** Interchange-fee rules, digital-wallet regulation, and data-privacy regimes could reduce monetization across the platform.
- **Execution risk.** The turnaround depends on continued product innovation (Fastlane, Venmo monetization) and cost discipline under current leadership.
- **Credit exposure.** Buy-now-pay-later and merchant lending could produce losses in a consumer downturn.
- **Technological disruption.** Shifts in how consumers pay — including agentic AI commerce — could bypass traditional checkout flows if PayPal fails to embed itself in new interfaces.

What would change our mind

Downgrade to HOLD on: two consecutive quarters of declining branded-checkout payment volume — the network flywheel breaking would invalidate the core thesis; a sustained decline in take rate not explained by mix shift, indicating pricing power has been lost; operating-margin contraction resuming after the turnaround gains, suggesting cost discipline was temporary; Venmo monthly active users declining or monetization per user stalling for a full year; or a large dilutive acquisition that diverts capital from buybacks into empire-building. We watch: branded TPV, take rate net of mix, Fastlane merchant adoption, and Venmo monetization per user.

7 Methodology

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit 10-year forecast horizon, weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations); the bear case adds 250bp, the bull case subtracts 150bp (floored at 8%). Terminal value assumes no more than 2.5% perpetual growth applied to normalized mid-cycle margins — never peak margins — and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants. For PayPal the scenario cash flows are owner free cash flow — after stock-based compensation — because that is the cash shareholders can actually spend.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.